Briefing note

auditoffice OF NEW SOUTH WALES

To:	Financial Audit Executive
Date:	1 May 2026 **Ref:**
Subject:	**Digital Audit Workflow Initiative** - Explore, Design, and Test
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Presented by	Scott Stanton (Assistant Auditor-General, Systems Assurance, Cyber and Data Branch)
Response to:	Digital Audit Strategy 2025-32 AI initiatives and FAB efficiency project for local government sector

Purpose

To propose an updated version of the Digital Audit Benchmark Platform project following the initial Financial Audit Executive discussion on 16 April 2026, incorporating FAE feedback to refine scope, governance and delivery approach, and to progress the development of an Audit Office-led pilot that simulates an AI-powered and data-driven financial audit workflow for the NSW local government sector.

What we have proposed and why it matters

In the previous version, we proposed an Audit Office-led pilot to simulate an AI-powered, data-driven financial audit workflow, using NSW local government audits as the initial test case. The proposal focused on experimenting across the full financial audit cycle—from planning and risk assessment through to evidence review and reporting—using automation, audit analytics and AI strictly as decision support for auditors. Clear boundaries were set to ensure human judgement remained central, with AI constrained, observable and auditable, and all testing undertaken in a simulation environment using historical or sandboxed data to avoid disruption to live audits and to manage risk.

This matters because financial audits, particularly in the local government sector, remain labour-intensive and constrained by manual processes and poor data access, creating risks to timeliness and efficiency. Without a structured way to test emerging technologies, there is a risk of either premature AI adoption or missed opportunities to safely improve audit quality. Advances in data pipelines, audit analytics and AI offer real potential to augment routine audit work, but only if introduced in a controlled, ethical and evidence-based manner with clear human accountability. Importantly, productivity gains should enhance—not diminish—audit quality, freeing auditors to deliver deeper insight, stronger risk focus and greater public value, while simulations provide a safe and scalable way to build future workforce capability in complex judgement that cannot be automated.

Key Feedback from the FAE

- The Data61 paper was seen as a useful exploratory discussion paper illustrating what is technically possible, but not as a decision paper or a signal of imminent implementation or organisational change.
- FAE supported positioning CSIRO Data61 as strategic advisors with strong market and research insight, rather than committing early to a heavy internal build or a single technical solution.
- Ethical considerations were acknowledged as necessary constraints under NSW Government settings, but should be reframed so they inform go / no-go decisions on AI use without dominating the narrative or being interpreted as workforce replacement.

- FAE advised clearly separating the technical simulation work from broader organisational and workforce considerations, noting that organisational redesign is not an expected output of this project.
- There was strong concern about workforce messaging risk, with clear feedback that the narrative must focus on productivity enabled by efficiency, upskilling and reskilling, and not workforce reduction.
- The paper should be explicitly anchored to existing Office and Auditor-General strategies, including workforce, digital audit and IT strategies, noting that the strategic direction is already endorsed in principle.
- Overall, FAE expressed near-unanimous support for the direction, with remaining focus on practical matters such as cost, outputs, governance and design, and agreed the proposal should be refined and brought back.

What is in scope

- Establishing a financial audit workflow to inform identification of opportunities where data and AI solutions will be relevant, specifically:
  - simulation of selected financial audit activities using historical or sandboxed data
  - local government audits as the initial test case
- AI-assisted capabilities such as:
  - transaction analytics and anomaly detection
  - document review and evidence classification
  - AI-supported sampling and compliance checks
- Human–AI collaboration models where:
  - auditors retain all judgement, sign-off and accountability
  - AI outputs are auditable, explainable and reviewable
- Development of an internally led minimum viable platform concept, built within the Audit Office environment, with CSIRO Data61 providing technical and advisory support to inform learning and benchmarking.

What is out of scope

- Live deployment on active financial audits
- Replacement of auditors or audit sign-off
- Mandating AI use across audits
- Procurement of a commercial audit platform at this stage
- Public release of tools or findings without executive approval

Strategic Alignment

Strategy	Alignment	Notes
Audit Office Corporate Plan – Strategic Objectives 2025–2028	✓	The initiative supports the Corporate Plan objectives to transform public sector auditing, build future-ready capability, and amplify public value by strengthening audit quality, insight and productivity through responsible use of data, analytics and AI.
Digital Audit Strategy 2025–32	✓	The proposal aligns with the Strategy's focus on human-in-the-loop AI, safe experimentation, centralised data platforms and progressive digital uplift, while deliberately positioning the work as exploratory rather than operational deployment.

Strategy	Alignment	Notes
Technology Strategy *(under development)*	✓	The pilot simulation is consistent with the intended direction of the Technology Strategy by using non-production environments to test and inform future-state technology decisions without committing to premature solutions.
Workforce Strategy *(under development)*	✓	The initiative supports the emerging Workforce Strategy by providing a controlled environment for auditors to build digital, data and analytical capability, reinforcing upskilling and professional growth rather than workforce redesign.
Learning Strategy *(under development)*	✓	The proposal complements the emerging Learning Strategy by enabling applied learning opportunities that build digital literacy, professional judgement and effective human-AI collaboration in audit contexts.
AI Roadmap / Responsible AI Adoption	✓	The simulation-first approach aligns with the Office's responsible AI direction by evaluating AI opportunities against ethical, transparency, explainability and risk constraints before any consideration of live use.
Data Zen Project (Data Governance)	✓	The initiative builds on and reinforces improved data governance, standardised data acquisition and data maturity uplift promoted through Data Zen, ensuring AI and analytics testing is grounded in trusted data foundations.
Audit Methodology (Financial and Performance Audit)	✓	The proposal is consistent with ongoing methodology modernisation by exploring how digital techniques could support audit judgement and insight, without changing current methodologies or quality requirements.
Whole-of-Government AI Principles	✓	The proposal aligns with NSW Government AI principles by treating ethics, transparency and risk management as mandatory constraints and using simulation to assess suitability prior to any operational adoption.

Governance and project team (proposed)

Office Executive sponsor group

- Brad Medina (Assistant Auditor-General – Local Government, Financial Audit Branch)
- Scott Stanton (Assistant Auditor-General, Systems Assurance, Cyber and Data Branch)
- Xiaoyan Lu (Executive Director, Corporate, Experience and Strategy Branch)

Internal team

- Nathan Carter (Project lead)
- Barry Li (Deputy project lead)

Internal contributors

- Data and AI team
- Digital Audit Working Group (FAB)
- IT (platform, security, architecture)

External partners and advisors

- CSIRO Data61 (research and benchmarking partner)
- Other audit firms or vendors (knowledge sharing, tooling insights as appropriate)

Attachment

OE briefing: The Digital Audit Workflow Initiative

Prepared by: Nathan Carter, Director, SACD; Barry Li, Associate Director, SACD.
Reviewed and updated by: Scott Stanton, AAG, SACD; Xiaoyan Lu, ED, CES; Brad Media, AAG, FAB
Date: 1 May 2026

Background

The Audit Office's Digital Audit Strategy 2025–32 endorses the safe and responsible use of data, automation and AI to strengthen audit quality, productivity and insight. Financial audits—particularly in the local government sector—remain constrained by manual processes and inconsistent data access. To progress in a controlled way, the Office requires a structured mechanism to test where AI-assisted approaches add value, what risks arise, and what conditions would need to be met before any operational use.

Purpose

To seek Office Executive endorsement to proceed, in principle, with a time-bound exploratory pilot to examine AI-assisted financial audit workflows for the NSW local government sector, including limited funded engagement with CSIRO Data61 for advisory support, and to return to the Office Executive with a separate, costed proposal should further progression be recommended.

Objectives

The pilot simulation aims to:

- Generate evidence on feasibility, benefits, risks, costs and limitations of AI-assisted audit activities.
- Demonstrate what is possible—and what is not—across selected stages of the financial audit lifecycle.
- Build shared understanding and internal capability without disrupting live audits or changing audit methodology.

Proposed Approach

The initiative will establish a controlled **pilot simulation** that functions as:

- a **time-bound** exercise using limited datasets and selected audit activities;
- a **proof-of-concept environment** to test and compare approaches rather than deliver a complete solution; and
- a **minimum viable benchmark capability** that could inform, but does not commit to, any future build or deployment.

The simulation will focus initially on **local government financial audits**, leveraging existing data and information acquired on audits, and will test AI strictly as **decision support** with auditors retaining full judgement, oversight and sign-off.

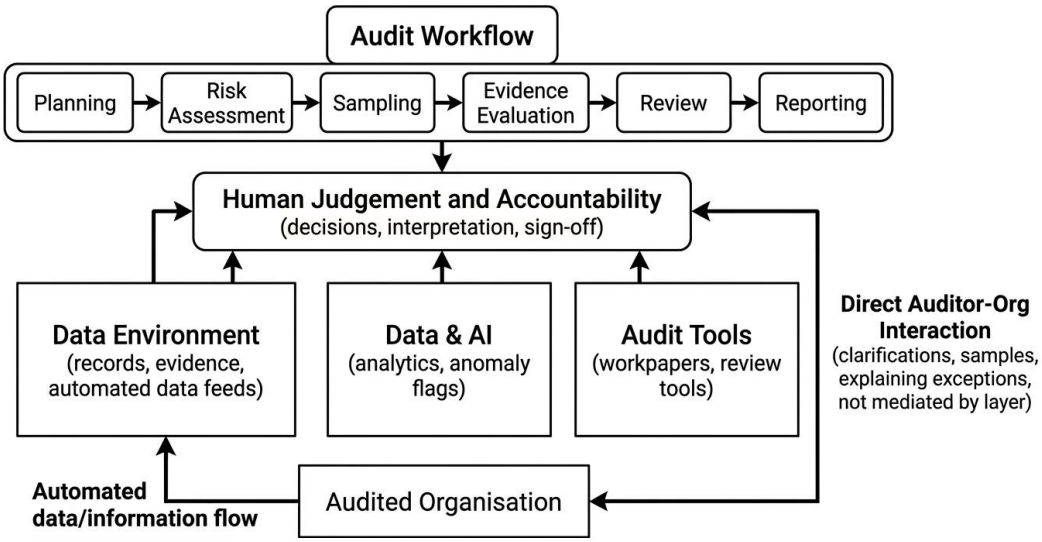
What the pilot will examine

The pilot will examine selected stages of the financial audit lifecycle, including planning, risk assessment, substantive testing, evidence review and reporting. Rather than assessing individual tasks in isolation, the pilot will consider the broader audit workflow, including data flows, review and approval processes, and the interaction between auditors and supporting systems.

Within this controlled environment, AI-assisted techniques such as transaction analytics, anomaly detection, document review and sampling support may be introduced selectively across different

workflow stages. This will allow the effects of individual tools, and combinations of tools, to be evaluated while auditors retain full judgement, oversight and sign-off.

A key focus of the pilot will be testing different human–AI collaboration approaches, for example where AI performs initial analysis that is reviewed and interpreted by auditors, or where auditors guide AI tools during risk assessment. This will support evaluation of productivity, audit quality and decision-making impacts, while also providing a practical opportunity for workforce capability development.



The pilot will enable structured assessment of factors that influence the effectiveness and suitability of AI-assisted audit workflows. This includes consideration of different types of AI tools and techniques, recognising that they vary in analytical capability, cost, security and suitability for audit use.
The pilot will also consider data readiness, including the availability, structure and quality of audit data. Many financial records are currently designed for human use, and the pilot will explore how data preparation and structuring may affect the feasibility and value of AI-assisted analysis, alongside associated costs and risks.

Different human–AI workflow configurations will be examined, including varying degrees of task support and different allocations of activities between auditors and AI tools. This will support assessment of how workflow design influences efficiency, audit quality and operational practicality.
In addition, the pilot will consider practical operating constraints such as workforce capability, governance requirements, data security and infrastructure considerations. These factors are critical in determining whether any AI-assisted approaches could be adopted safely and sustainably in a public sector audit context.

Scope

In scope

- Simulation of selected financial audit activities using historical or sandboxed data.
- Exploration of AI-assisted analytics, document review and sampling as decision support.
- Evaluation of productivity, quality, governance and workforce capability implications.

Out of scope

- Live audit deployment or use on active engagements.
- Changes to audit methodology, organisational design or workforce structure.
- Procurement or implementation of an operational audit platform.

Strategic Alignment

This proposal is firmly grounded in, and directly supports, the Audit Office's existing strategic direction as set out in the Corporate Plan – Strategic Objectives 2025–2028. In particular, the initiative contributes to the objectives of transforming public sector auditing, building future-ready capability,

and amplifying public value by strengthening audit quality, insight and productivity through the responsible use of data, analytics and emerging technologies. The use of a controlled pilot and simulation-based approach ensures that innovation is pursued in a way that is proportionate, defensible and aligned with the Office's mandate.

The initiative also aligns closely with the Digital Audit Strategy 2025–32, which envisages a future state where audits are increasingly data-enabled, supported by automation and AI, and designed around a clear human-in-the-loop model. By focusing on safe, structured experimentation rather than operational deployment, the proposal supports the Strategy's emphasis on progressive digital uplift, centralised data platforms and ethical innovation, while deliberately avoiding premature commitments to tools, platforms or changes in audit delivery.

Alignment is also evident with the Technology Strategy currently under development. The proposed pilot simulation uses non-production, time-bound environments to explore technical feasibility and design considerations, helping to inform future-state architecture decisions without locking the Office into specific solutions. This approach is consistent with a disciplined technology investment model, where evidence from pilots and benchmarks informs longer-term decisions.

Strategy	Alignment	Notes
Audit Office Corporate Plan – Strategic Objectives 2025–2028	✓	The initiative supports the Corporate Plan objectives to transform public sector auditing, build future-ready capability, and amplify public value by strengthening audit quality, insight and productivity through responsible use of data, analytics and AI.
Digital Audit Strategy 2025–32	✓	The proposal aligns with the Strategy's focus on human-in-the-loop AI, safe experimentation, centralised data platforms and progressive digital uplift, while deliberately positioning the work as exploratory rather than operational deployment.
Technology Strategy *(under development)*	✓	The pilot simulation is consistent with the intended direction of the Technology Strategy by using non-production environments to test and inform future-state technology decisions without committing to premature solutions.
Workforce Strategy *(under development)*	✓	The initiative supports the emerging Workforce Strategy by providing a controlled environment for auditors to build digital, data and analytical capability, reinforcing upskilling and professional growth rather than workforce redesign.
Learning Strategy *(under development)*	✓	The proposal complements the emerging Learning Strategy by enabling applied learning opportunities that build digital literacy, professional judgement and effective human-AI collaboration in audit contexts.
AI Roadmap / Responsible AI Adoption	✓	The simulation-first approach aligns with the Office's responsible AI direction by evaluating AI opportunities against ethical, transparency, explainability and risk constraints before any consideration of live use.
Data Zen Project (Data Governance)	✓	The initiative builds on and reinforces improved data governance, standardised data acquisition and data maturity uplift promoted through Data Zen, ensuring AI and analytics testing is grounded in trusted data foundations.
Audit Methodology (Financial and Performance Audit)	✓	The proposal is consistent with ongoing methodology modernisation by exploring how digital techniques could support

Strategy	Alignment	Notes
		audit judgement and insight, without changing current methodologies or quality requirements.
Whole-of-Government AI Principles	✓	The proposal aligns with NSW Government AI principles by treating ethics, transparency and risk management as mandatory constraints and using simulation to assess suitability prior to any operational adoption.

From a people perspective, the proposal reinforces the direction of the Workforce Strategy and Learning Strategy, both under development, by emphasising capability uplift rather than structural or workforce redesign. The simulation provides a practical environment for auditors to build digital, data and analytical skills, practise higher-judgement tasks, and develop confidence working alongside AI-enabled tools. This supports the broader ambition of preparing auditors for the "auditor of the future" while maintaining professional judgement and accountability at the centre of audit work.
The initiative also builds on the Office's AI Roadmap and Responsible AI Adoption approach by treating ethical, transparency, explainability and risk management requirements as mandatory constraints on any potential AI use. The simulation-first model allows AI use cases to be assessed against these requirements before any consideration of live deployment, consistent with whole-of-government expectations for responsible AI use.

Strong alignment is also evident with the Data Zen project and associated data governance initiatives. The proposal assumes and reinforces the need for trusted, well-governed and standardised data as a prerequisite for any AI-assisted audit activity. By grounding experimentation in existing data governance uplift, the initiative supports improved data maturity and reduces risks associated with inconsistent or poorly governed data.

Finally, the proposal is consistent with ongoing audit methodology modernisation across Financial and Performance Audit. It explores how digital techniques and AI-assisted analytics could support audit judgement, insight and quality, without changing current methodologies, standards or assurance requirements. In this way, the initiative complements methodological evolution rather than driving it.

Audit Industry Alignment

By 2026, the auditing industry has moved from experimenting with artificial intelligence to embedding it into core audit activities. AI is now commonly used to support audit planning, risk assessment, transaction testing, reconciliations and analytical reviews across the audit lifecycle. These tools help auditors analyse larger data sets, perform more consistent checks, and identify unusual patterns earlier, improving both audit quality and efficiency. Rather than replacing professional judgement, AI is being positioned as an assistant that reduces manual effort in routine tasks, allowing auditors to focus more on complex judgement areas, governance discussions and assurance over higher-risk matters.

At the same time, the industry has made significant progress on responsible AI governance. Audit organisations are establishing clear AI inventories, defining acceptable use, and embedding governance controls that are proportionate to risk and impact. This includes stronger data governance, privacy and security controls, lifecycle oversight from design through to use, and performance monitoring to ensure AI outputs remain reliable. A strong emphasis is also placed on people, with ongoing training to build AI literacy, responsible use skills and oversight capability. Overall, the trend is toward risk-based guardrails that enable low-risk innovation to move quickly, while ensuring higher-risk uses of AI are subject to deeper assurance and review.

Governance and Roles (Proposed)

Sponsor group

- Brad Medina
- Scott Stanton
- Xiaoyan Lu

Internal team

- Nathan Carter
- Barry Li

Internal contributors

- Data and AI team
- FAB Digital Audit Working Group
- IT (security, platforms and architecture)

External input

External research and professional advisory partners may be engaged to provide specialist technical insight and independent perspectives. CSIRO Data61 would contribute advisory support in areas such as trusted AI, data analytics, cybersecurity and evaluation design, drawing on their research and market insight.

The collaboration would combine the Audit Office's financial audit expertise and sector knowledge with Data61's technical and research capabilities, supporting a rigorous and practical exploration of AI-assisted audit workflows. Audit methodology, professional judgement, governance and decision-making would remain the responsibility of the Audit Office.

Budget and Resourcing (Indicative)

This business case does not seek funding approval. Any future consideration would cover categories such as:

- internal staff time for pilot participation;
- enabling IT environments and security controls; and
- scoped external advisory support.

Detailed costs, if required, would be developed only following endorsement of the pilot direction.

Risks and Controls

The primary risks associated with this proposal relate to scope control, interpretation of intent, and premature commitment to solutions. In particular, there is a risk that an exploratory pilot could be perceived as signalling imminent implementation, workforce change, or endorsement of specific technologies, which could create confusion internally or constrain future decision-making.
There is also a risk of scope creep over time, particularly given the evolving nature of AI technologies and external interest in potential applications. Without clear boundaries, the pilot could expand beyond its intended purpose of evidence gathering and capability development, leading to unplanned resource demands or implicit commitments.

These risks will be managed through a combination of clearly defined scope boundaries, disciplined governance, and staged decision-making. The pilot will be explicitly time-bound, limited in scale, and confined to a controlled, non-production environment. Internal communications will be carefully managed to reinforce that the work is exploratory, does not involve live audits, and does not pre-empt decisions on workforce structure, audit methodology, or technology investment.

Progression beyond the pilot will be subject to explicit decision points, with any proposal involving further funding, broader application, or operational deployment required to return to the Office Executive for separate consideration and approval. Oversight by the sponsor group will provide assurance that risks are actively monitored and that the initiative remains aligned with the Office's strategic intent and governance expectations.

Expected Outcomes and Benefits

The pilot is expected to produce a structured, controlled environment that supports exploration of AI-assisted audit workflows and generates evidence to inform future decision-making. It will provide practical insight into where AI techniques may add value, where risks arise, and what constraints must be addressed before any consideration of operational use.

The work will generate evidence on productivity, audit quality, governance and cost implications associated with different forms of AI assistance, supporting a clearer understanding of potential benefits and limitations in a public sector audit context.

From a workforce perspective, the pilot will support targeted capability uplift by providing opportunities for auditors to develop data and AI literacy through hands-on involvement in a controlled setting. This will help build internal understanding and reduce reliance on external expertise over time, without pre-empting any workforce or organisational decisions.

Any outputs from the pilot will be used to inform internal consideration of future options only. The pilot does not commit the Office to the development, procurement or deployment of any operational audit platform or technology solution.

Next Steps

Subject to Office Executive endorsement in principle:

- finalise the pilot scope, success measures and governance arrangements;
- engage internal stakeholders to confirm feasibility, data readiness and controls;
- scope limited CSIRO Data61 advisory support, including deliverables, timeframes and indicative costs; and
- return to the Office Executive with a separate, costed proposal if progression beyond the exploratory pilot is recommended.